



ENVIRONMENTAL SOCIAL & GOVERNANCE REPORT

2024

Financing a Sustainable Tomorrow

ABOUT THIS REPORT

Reporting scope & boundary

This report presents the Environmental, Social, and Governance (ESG) performance of Meridian Bank Group (hereinafter referred to as «Meridian», «the Bank», or «the Group») for the financial year ended 31 December 2024. The report is intended to provide a comprehensive, balanced, and transparent account of how the Bank creates long-term value for its stakeholders while managing its responsibilities to society and the environment.

The reporting boundary covers all wholly owned subsidiaries and branches across the United Arab Emirates, the Kingdom of Saudi Arabia, Egypt, and the United Kingdom. Data from associated companies where Meridian holds an equity stake of less than 50% is excluded from this report unless otherwise stated. Any material changes to the Group's structure during the reporting period - including the acquisition of a 60% stake in Nile Digital Finance LLC in Egypt - are noted within the relevant sections. Joint ventures are excluded from headcount and emissions figures unless Meridian exercises operational control.

Financial data referenced in this report is drawn directly from the Group's audited Annual Report and Financial Statements 2024, prepared in accordance with International Financial Reporting Standards (IFRS). All currency figures are expressed in US Dollars (USD) unless otherwise indicated. Any restatements from prior-year figures - for example, due to methodological improvements in emissions calculations - are clearly disclosed in the Performance Data Summary on page 24

Reporting frameworks & standards

This report has been prepared in accordance with the GRI Standards (2021) - Core option, which provides the global benchmark for sustainability reporting and ensures comparability, consistency, and materiality. In addition, the report is aligned with the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD), which guides our disclosure on governance, strategy, risk management, and metrics related to climate change. We also report against the Sustainability Accounting Standards Board (SASB) Financial Sector - Commercial Banks standard (FN-CB), which captures the sector-specific sustainability metrics most relevant to investors.

Meridian became a signatory to the United Nations Environment Programme Finance Initiative (UNEP FI) Principles for Responsible Banking (PRB) in 2023. This framework requires banks to align their strategy and portfolio with the SDGs and the Paris Agreement, and to set and publicly disclose targets in our most significant areas of impact. Progress against these PRB targets is reported in this document. We have also adopted elements of the Taskforce on Nature-related Financial Disclosures (TNFD) LEAP methodology in a pilot assessment of our agriculture and real estate lending portfolios.

Data quality, assurance & materiality

ESG data is collected through Meridian's integrated ESG Management Platform, which aggregates inputs from 186 branches, 4 country operations, and all business divisions. Environmental data is subject to a four-stage internal quality assurance process involving data entry, line manager review, Country ESG Lead verification, and Group-level consolidation. Social and Governance data is sourced from the Bank's HR information systems, legal and compliance databases, and risk management frameworks.

Selected environmental KPIs - including Scope 1 and 2 GHG emissions, energy consumption, water withdrawal, and the Bank's total financed emissions (Scope 3, Category 15) - were independently assured by PricewaterhouseCoopers (PwC) to a Limited Assurance level under the ISAE 3000 (Revised) standard. The full Assurance Statement is provided on page 27. The Bank's material topics - identified through a rigorous double materiality assessment - define the structure and content of this report.

Quick facts

Report Type	ESG / Sustainability Report
Reporting Period	Jan - Dec 2024
Publication Date	April 2025
Frameworks	GRI 2021, TCFD, SASB FN-CB, PRB, SDGs
Assurance Provider	PricewaterhouseCoopers (PwC)
Assurance Level	Limited - ISAE 3000
Headquartered	Dubai, UAE
Stock Listing	Dubai Financial Market (DFM)
Contact	esg@meridianbank.com
Website	meridianbank.com/sustainability

Navigating this report

each section of this report corresponds to a material ESG topic identified in our 2024 double materiality assessment. The report is structured to follow the three pillars of our ESG strategy: Responsible Banking (environmental and sustainable finance topics), Inclusive Growth (social topics), and Ethical Leadership (governance topics). Where relevant, we cross-reference to our GRI Content Index (page 21), TCFD Disclosure (page 22), and SASB Index (page 23).



Transparency is the foundation of trust. This report reflects our commitment to honest disclosure. The good, the progress still to be made, and the roadmap to get there.

Contact & feedback

we welcome feedback from all stakeholders on the content and presentation of this report. Please direct queries to the ESG & Sustainability Department at esg@meridianbank.com or visit our sustainability microsite at meridianbank.com/sustainability, where you can also access supplementary data, our GHG methodology note, and our PCAF financed emissions technical appendix.

CHAIRMAN'S MESSAGE

Dear Shareholders, Valued Customers, Esteemed Partners, and All Stakeholders

The year 2024 stands as one of the most consequential in the history of Meridian Bank Group — not merely in terms of the financial results we have delivered, but in the depth and permanence of the transformation we have initiated across our organisation, our portfolio, and our communities. It is a year in which sustainability ceased to be a strategic aspiration and became operational reality, measurable at every level of the business.

The global context in which we operate has never made the urgency of this transformation clearer. Climate science continues to confirm that the window for meaningful action is narrowing. Social inequality persists in the markets we serve, and regulatory frameworks around the world — from the European Union's Corporate Sustainability Reporting Directive to the UAE's own emerging sustainability reporting requirements — are increasingly demanding that financial institutions demonstrate accountability, not just intention. Meridian Bank Group is fully prepared to meet and exceed these expectations.

In 2024, our green and sustainable financing portfolio grew by 34%, reaching USD 2.4 billion — a landmark that would have seemed ambitious just three years ago when we set our first green finance target. This growth was not accidental. It was the result of a deliberate strategic decision to redesign our credit products, retrain our relationship managers, and build a dedicated Sustainable Finance unit with the mandate and resources to make responsible lending the mainstream of our business, not an exception.

Perhaps more significant than the headline figure is the quality of what sits behind it. We completed our Transition Finance Framework — a first in our region — enabling us to extend capital to clients in sectors such as steel, cement, and aviation that are committed to credible, science-based decarbonisation plans. We believe that excluding these sectors outright does nothing to reduce real-world emissions; engaging them with clear conditions and milestones does. This is responsible banking in its truest sense.

On governance, we made structural changes that will define the Board's effectiveness for years to come. The appointment of three new independent non-executive directors — each with deep expertise in climate risk, digital innovation, and social finance respectively — brings fresh rigour to our oversight function. Women now represent 40% of Board membership, up from 33% in 2022, and we have set a clear target of 45% by 2025. The Board ESG and Sustainability Committee increased its meeting frequency from four to six times per year, reflecting the growing strategic weight of ESG in our deliberations.

I am also proud to report that in 2024, for the first time in the Bank's history, a meaningful proportion of the Group CEO's short-term variable remuneration — 20% of the STI component — was directly linked to ESG performance metrics. This is not symbolic. It sends an unambiguous signal throughout the organisation that our sustainability commitments are strategic priorities, not corporate communications exercises.

As we look to 2025 and beyond, I am confident that Meridian Bank Group is on the right trajectory. Our net-zero portfolio commitment for 2050 is backed by interim milestones, science-based target submissions, and a governance structure that holds management accountable for delivery. Our social commitments — to financial inclusion, to workforce diversity, to community investment — are equally concrete and equally monitored. I thank every member of our 9,200-strong team for their dedication, our customers for their trust, and our shareholders for their continued confidence in our strategy.

34%

Growth in Green
Finance Portfolio

\$2.4 Billion

in Sustainable
Financing

40%

Women on the Board
of Directors

3

New Independent
Board Members
Appointed

20%

of CEO STI Linked to
ESG KPIs



A bank that does not consider its impact on society and the planet has no future. A bank that genuinely embraces that responsibility and acts on it with rigour is unstoppable.

Dr. Layla Al Zubair

Chairman, Board of Directors
Meridian Bank Group



CEO'S MESSAGE



Every dirham we allocate to green finance is a brick in the foundation of a more resilient, more equitable, and more sustainable world. That is what banking for the future looks like.

Mr. Tariq Al Ansari

Group Chief Executive Officer
Meridian Bank Group



Dear Colleagues, Partners, Communities, and Fellow Stakeholders,

My role as Chief Executive is ultimately about one thing: translating strategy into impact. In 2024, I am deeply proud to say that our ESG strategy — anchored in the three pillars of Responsible Banking, Inclusive Growth, and Ethical Leadership — generated real, measurable, and lasting impact across every dimension of the business.

The scale of our sustainable finance achievement cannot be overstated. Reaching USD 2.4 billion in green and sustainable financing in a single year — a 34% increase — required us to fundamentally rethink how we originate, structure, and price credit. We invested in dedicated Sustainable Finance teams across all four of our markets. We redesigned our credit application process to incorporate an ESG Due Diligence questionnaire for all corporate borrowers above AED 10 million. We built a proprietary ESG risk scoring model, benchmarked against MSCI and Sustainalytics datasets, that feeds directly into our internal credit rating system. And we priced carbon transition risk explicitly into the cost of capital for clients in carbon-intensive sectors — a step that no other bank in our peer group in the region has yet taken.

The Transition Finance Framework we published in 2024 is particularly significant. It establishes clear, credible criteria for extending financing to sectors that are currently carbon-intensive but committed to scientifically validated decarbonisation pathways. We believe this is the most responsible way for a bank of our size and regional footprint to contribute to the net-zero transition — not by withholding capital from the industries that need it most to change, but by making that capital conditional on genuine, time-bound transformation plans.

Our debut Sustainability-Linked Bond — a USD 300 million issuance that attracted 4.2x oversubscription — sent a clear market signal that investors trust Meridian's ESG credentials. The bond is linked to two ambitious key performance indicators: achieving 40% women in senior leadership by 2026, and reducing financed emission intensity by 30% by 2027. If either target is missed, the coupon steps up, creating a direct financial incentive for delivery. This is accountability built into our capital structure.

On the social side, I am particularly moved by what we achieved in financial inclusion. Our programmes reached 180,000 previously unbanked or underbanked individuals — a 38% increase from 2023. We disbursed USD 84 million in micro-credit to small entrepreneurs, the majority of them women. We delivered 620 financial literacy workshops, and our digital wallet activation campaign brought 42,000 new customers into the formal financial system. These numbers represent real families gaining access to the tools they need to build financial resilience.

Internally, our 9,200 employees are the engine of everything we do. Employee engagement reached 87% — the highest score in the Bank's history — driven by expanded learning and development investments, a transformed approach to flexible working, and a genuine culture of psychological safety and belonging. We will not take this for granted. We know that a highly engaged, diverse, and well-supported workforce is our most important competitive advantage.

As I close, I want to acknowledge that we do not have all the answers. Measuring and managing financed emissions at the granularity the market and regulators require is still an evolving science. Our supply chain ESG standards are maturing but not yet where we want them to be. The journey to net-zero is long and will encounter headwinds. But we are committed to this journey with our eyes open — and with the governance structures, the data infrastructure, and the human capital to see it through.

\$10M+

ESG scoring in all corporate credit decisions

#1 in GCC

Transition Finance Framework launched

100%

Renewable electricity, UAE HQ & branches

4,200

Corporate users on digital ESG client portal

85%

Tier-1 suppliers completed ESG assessments

COMPANY OVERVIEW

Meridian Bank Group is a full-service commercial, retail, and investment bank headquartered in Dubai, United Arab Emirates. Founded in 1985 by a consortium of regional and international investors who recognised the UAE's emerging role as a gateway between Eastern and Western financial markets, Meridian has grown steadily over four decades into one of the most respected and widely recognised financial institutions in the Middle East and North Africa (MENA) region. Today, the Group manages total assets of USD 48 billion and serves a diverse customer base of 3.2 million individuals and businesses across four countries, supported by a network of 186 branches and a market-leading digital banking platform that continues to redefine customer experience across the region.

The Bank is listed on the Dubai Financial Market (DFM), reflecting its deep roots in the UAE's capital markets ecosystem and its commitment to transparency and public accountability. Meridian carries investment-grade credit ratings from both Standard & Poor's (A-) and Moody's (A3) — ratings that affirm the strength of its capital position, the consistent quality of its loan book, the resilience of its balance sheet through multiple economic cycles, and the robustness of its governance structures. These ratings place Meridian among a select group of MENA-based banks recognised by global rating agencies as financially sound, well-managed, and capable of honouring obligations even in challenging macroeconomic conditions.

Meridian's business model is built on five complementary and strategically integrated segments. Retail and Personal Banking serves individual customers through branch, digital, and mobile channels, offering current and savings accounts, personal loans, mortgages, credit cards, and insurance products. Corporate and Institutional Banking provides sophisticated financing, cash management, trade finance, and treasury solutions to large enterprises and government-linked entities. Investment Banking and Markets supports capital raising, mergers and acquisitions, structured finance, and fixed income and equities trading for institutional and corporate clients. SME Banking addresses the unique needs of small and medium-sized enterprises — the backbone of the UAE and MENA economies — through tailored credit facilities, working capital solutions, and digital business banking tools. Finally, Private Banking and Wealth Management delivers bespoke investment advisory, portfolio management, estate planning, and family office services to high-net-worth and ultra-high-net-worth clients. Each segment is aligned with the Group's overarching purpose: to finance prosperity — responsibly, inclusively, and sustainably.

The Group delivered a strong financial performance in 2024, with net profit reaching USD 680 million, representing year-on-year growth of 14%. This result was underpinned by net interest income growth of 11%, driven by a disciplined repricing of assets in a higher-rate environment and continued expansion of the loan book across all segments. Fee income also grew meaningfully, with notable contributions from sustainable finance transactions — including green bonds, sustainability-linked loans, and ESG-structured products — reflecting both client demand and Meridian's growing prominence as a leader in responsible finance across the region. Disciplined cost management ensured that efficiency ratios remained competitive, even as the Group invested in talent, technology, and regulatory compliance capabilities.

Business Segment	Total Assets (USD B)	Revenue Contribution	Primary ESG Focus Areas
Retail & Personal Banking	18.2	32%	Financial inclusion, green mortgages, accessible banking, consumer data privacy
Corporate & Institutional Banking	16.5	28%	Transition finance, ESG-linked loans, climate risk in credit, PCAF emissions
Investment Banking & Markets	8.4	18%	Green bond issuance, sustainability-linked bonds, ESG advisory
SME Banking	3.9	12%	SME sustainability support, green supply chain finance, financial literacy
Private Banking & Wealth Management	1.0	10%	Impact investing, ESG-screened portfolios, sustainable estate planning

1985

FOUNDED

3.2 Million

Customers

\$48 Billion

Total assets

186

Branches

9,200

Employees Globally



For Further Information

All queries regarding the content, methodology, or scope of this report should be directed to the ESG & Sustainability Department, Meridian Bank Group, P.O. Box 12345, Dubai, UAE. Email: esg@meridianbank.com | Tel: +971 4 800 0000 | Sustainability Microsite: www.meridianbank.com/sustainability

